

compared to Pakistan, India's problems are less severe and it has adequate internal resources to deal with these on its own. Bhowmick says that Pakistan's economy has a multi-dimensional crisis beyond temporary macroeconomic shocks. "At its core are deep-rooted structural weaknesses: a narrow tax base, stagnant industrial and agricultural productivity, chronic energy dependence, and weak institutional capacity," he says.

India's former finance secretary Subhash Chandra Garg agrees that Pakistan's economy has been mismanaged. "It used to be a multiple of Bangladesh's economy when Bangladesh got independence. A few years back, Bangladesh overtook Pakistan's GDP," he says.

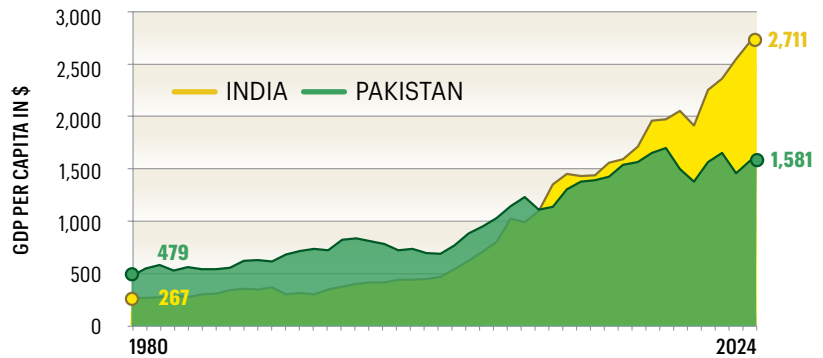
According to him, the current state of Pakistan's economy is the result of a combination of factors. These include the absence of good business and industrial entrepreneurship, high military interference, repeated involvement in conflicts, the dominance of Sharia, blasphemy, and other religious laws on the business environment, sustenance of terrorism and terrorist infrastructure, and suppression of democracy, among other things.

IMF TO THE RESCUE

In 2024, Pakistan's fast-depleting foreign exchange reserves brought to the fore concerns about its ability to service its external debt obligations worth \$131 billion by the end of the year. With increasing pressure and import restrictions threatening its domestic industries, it was once again IMF to the rescue. Pakistan received a stand-by arrangement (SBA) that helped the country meet financing gaps and restore confidence, allowing for the easing of import controls. Then, in September of that year, the IMF Executive Board approved a \$1-billion loan for Pakistan as a 37-month extended arrangement under the Extended Fund Facility (EFF) to address its longer-term problems and

GDP PER CAPITA

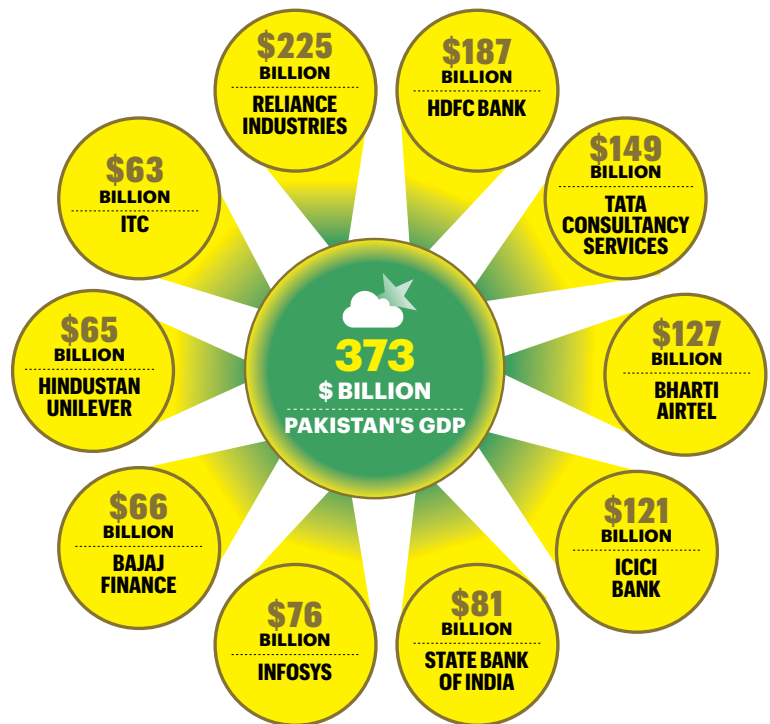
• India's economic rise over the past two decades has been sharp compared to Pakistan



NOTE AT CURRENT PRICES; SOURCE IMF

MINNOW ECONOMY

• The combined market capitalisation of top 10 Indian firms is more than 3x of Pakistan's GDP



NOTE FIGURES SHOW MARKET CAP; DATA AS ON MAY 20, 2025;
SOURCE BT RESEARCH; COMPANIESMARKETCAP.COM